

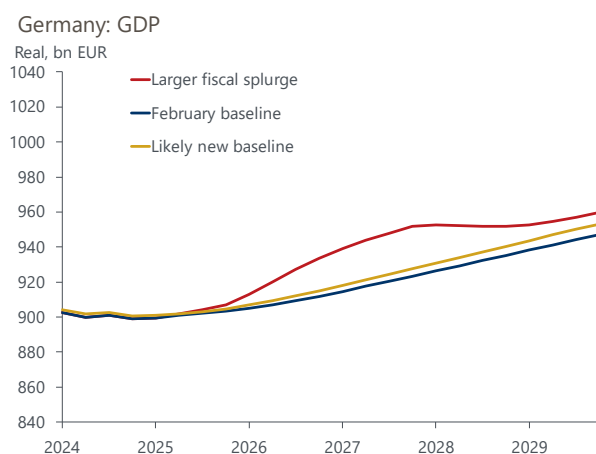
Research Briefing | Germany

Next coalition launches fiscal bazooka at new geopolitical realities

- **New geopolitical realities have forced the likely next German coalition of the CDU and SPD into agreeing to a massive fiscal splurge. Details are scarce and implementation risks loom large, but this could in theory see the fiscal deficit widen to 4% of GDP for the next decade. The measures could help build a viable military deterrent, jumpstart the recovery and transform the economic outlook for the coming decade.**
- **The scale and urgency of the proposal suggest that this is in part a political signal to allies and adversaries. However, the required support from other parties isn't yet secured, and a coalition deal could yet fail to materialize. The proposal also targets a long-term reform of the debt brake, which may envisage less ambitious easing. And the economy may struggle to absorb all funds.**
- **Nonetheless, even a partial use of the additional fiscal space presents a material upside to our previous baseline, and supports the changes we have made in our latest forecast. We now expect deficit to double over the coming years to 1.5% of GDP to finance a hike in defence spending to 3% of GDP. We think that will lift the level of GDP around 0.6% above baseline by 2029 and raise Bund yields by 20bps to 2.65%.**
- **In a scenario with a big infrastructure splurge and an even larger and more front-loaded rise in defence spending GDP could be 1.4% above baseline by 2029. But the economy would likely struggle to scale up defence and infrastructure capacity that quickly. So delays to projects, a marked rise in inflation, and a subsequent monetary policy response are likely.**
- **We stick to our revised forecast despite yesterday's big fiscal announcement as we await greater clarity on its political viability. Even if the likely next government were to pass the agreed fiscal package, we are unlikely to incorporate it into our baseline in full given questions on its economic viability.**

Ahead of the elections, we had been [sceptical](#) that the next German government would adopt a swift structural reform agenda or deliver a major growth impetus. However, the upside risks we had flagged now look increasingly likely to materialize at least in regard to a sizeable fiscal stimulus boost. In response to the new geopolitical realities that emerged in recent weeks, the likely next governing coalition of the CDU and SPD has agreed a historical easing of Germany's fiscal corset only days after having started coalition talks.

Chart 1: A larger fiscal splurge could see a much stronger recovery



Source: Oxford Economics/Haver Analytics

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The proposed package is a big deal and a clear political signal

There has only been a press conference by the party leaders to announce their agreement yesterday. So details are scarce and timelines for the rollout are non-existent. However, what is known suggests that this is even a bigger fiscal package than delivered during Covid. The fiscal proposal consists of:

- **A doubling of the structural deficit:** The constitutional debt brake permits a structural deficit of 0.35% of GDP for the federal government and wider deficits in recessions. But it requires structurally balanced budgets by the federal states. The plan foresees a doubling of the structural deficit with the additional 0.35% allocated to the states.
- **Exempt defence spending above 1% of GDP from the debt brake:** This change essentially equals to a blank check. Germany had recently reached the NATO's 2% spending target and was committed to keep spending at this level. A rise of defence spending to 3% of GDP is likely a sensible baseline assumption. Given that 1% needs to be financed by the core budget, this would imply 2% of GDP deficit on top of the 0.7% allowed under the revised debt brake rules. But much larger deficits would in principle be allowed.
- **A EUR500bn infrastructure fund:** The agreement of the parties calls for the funds to also be exempt from the debt brake rules. That would make it similar to the existing EUR100bn defence fund that was agreed in the wake of Russia invading Ukraine in 2022. The funds are supposed to be deployed over the course of ten years. So that would equate to a bit above 1% of GDP per year. A fifth of the funds are earmarked for the federal states, the rest for the federal government.

All told, this proposed fiscal package would see a massive easing of Germany's very strict fiscal rules. Rather than returning to 0.35% of GDP over time, the deficit could easily be 4% of GDP, up from 2.8% last year, forecast under 2% this year and compared to close to 5% during the early stages of the pandemic. This assumes defence spending rises to 3% of GDP.

This fiscal announcement is highly unusual. It comes only days after the election on February 22 and the start of the negotiations last Friday. Moreover, reportedly the parties haven't agreed anything else of substance. Typically, you would decide spending priorities and then see how to fund them. Lastly, the proposed package is a major political reversal for Merz. While he hadn't excluded changing the debt brake, he had been quite cautious on it in line with his general fiscal conservatism.

We think a big reason for it is that the likely future German chancellor wanted to urgently send a political message. During the press conference, Merz even used Mario Draghi's famous "whatever it takes" phrase to underscore the seriousness of the announcement. This is both a message to Germany's NATO allies that Germany will finally raise its military profile more forcefully to match its political and economic clout. This could strengthen the hands of the French president and UK prime minister in their talks to the US president highlighting that Europe's time as a free rider on US security is over. It is likely also a message to its adversaries that Europe will aim to strengthen its military to be able to defend Europe on its own.

The urgency of the ramp up in defence spending likely drove the decision to make the defence spending pledge open-ended exempting outlays above 1% of GDP. This could facilitate quick wins by importing a sizeable chunk of the new military equipment likely in large part from the US. A large import share and, thus, small fiscal multiplier will be an important feature of our upcoming March forecast release, where we raised our defence spending assumption for Europe to 3% of GDP.

The additional sizeable fiscal easing was likely in part the political price to pay to secure the quick support of the SPD and the states as the needed constitutional changes require a 2/3 majority in the upper and lower house of parliament. The states get to run structural deficits, while the SPD gets its large infrastructure fund, a long-time priority of theirs.

But it is also far from a done deal and may be replaced later in the year

There are several obstacles to this deal becoming law. First, the likely future CDU-SPD government wants to pass the legal changes through the old parliament, where it wouldn't need to rely on votes from parties outside the political mainstream. But it would still require the support from the Green party to reach 2/3 of the vote. Moreover, the Greens are also part of many state governments, so they are also needed to pass

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the deal through the Bundesrat, the upper house of parliament. The party has long advocated for changes to the debt brake and will be miffed about the CDU's sudden about-face, although their strong support for Ukraine will make it hard to refuse a ramp up of defence spending

Second, there are some questions, whether passing such a massive spending commitment during the transition from one to the next parliament is legal. Third, the CDU and SPD likely need to make some more progress on their negotiations to build trust in lasting coalition deal.

However, we think the new geopolitical realities will convince the political centre in Germany that this deal or something close to it will be needed. So we think the above obstacles won't derail an agreement leading to a material easing of fiscal policy.

The future coalition partners also agreed to aim for a substantial reform of the debt brake later in the year. But it was deemed too complicated to still pass this through the old parliament. This is likely in part geared to secure an agreement from the Green party. Interestingly, the Bundesbank [proposed](#) an overhaul of the debt brake on the same day as the parties' announcement. This broadly proposes to raise the deficit limits to 0.9% of GDP, when public debt is above 60% of GDP, and to 1.4% when it is below. This is closer to what we think a long-term sustainable fiscal path looks like for Germany given its weak growth prospects. A lasting deficit of 4% of GDP in an economy growing at maybe 3% y/y in nominal terms implies an upward trajectory for public debt.

The above is another reason to assume that the deal may in part be for show. This is possibly a bit of a repeat of the strategy during the pandemic, when fiscal announcements were among the largest in Europe including for instance an open-ended commitment to support corporate loans. In the end, Germany's fiscal deficits were among the lowest in Europe.

Economy may struggle to absorb funds quickly

Another reason to doubt the sheer scale of the easing is that the economy may struggle to absorb the funds both on the military and infrastructure side. This suggests that there will be either significant delays in deploying the funds, the spending will be highly inflationary or much of it leaks abroad via surging imports.

Again, this would mirror recent experience. There are already widespread delays in infrastructure projects given capacity constraints. This means that the federal budget regularly spends less than planned. To put things into perspective, EUR50bn annually would see public investment surge 40%. Even assuming that the new infrastructure fund will in part support private investment only alleviates the obstacles as it would still necessitate a rise of over 5% of total fixed investment.

Admittedly, the economy has been stagnant in recent years. Construction has suffered materially under high interest rates. And unemployment has been edging up. So the constraints are less binding than before, but we still judge them to be major obstacles. The future coalition is of course aware and has said it will accompany the fiscal easing with further easing of planning laws and other bureaucratic hurdles. Greater certainty on a lasting rise in infrastructure funding should also entice firms to invest more to raise their capacity. But we remain unconvinced that this will suffice for a swift deployment of funds. So we think it more likely that spending will be ramped up more gradually.

Relatively speaking we are more optimistic on a quick military than a wider infrastructure spending ramp up. Mostly because imports can play a big role in the former. But we also think that scope for shifting to mass production is larger for equipment especially in an environment, where all of Europe is likely to spend more. But even that will require big political decision on combining purchases and harmonizing equipment. We will discuss the outlook for military defence equipment and its economic and industrial implications in an upcoming report.

One way how the large potential deficits may materialise despite the described constraints is that the government ends up off-loading some of the existing spending to the new fiscal options. For defence spending that is by design and essentially frees up 1% of GDP in the core budget. For infrastructure that is also an option. The resulting fiscal space in the core budget could then be used to fund some of the corporate and income tax cuts the parties and especially the CDU has promised. That could spread the money more widely and limit the inflationary pressures in some areas. But the overall scope of the potential

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fiscal easing still looks very ambitious for an economy that has still among the lowest unemployment rate among EU countries despite years of stagnation. Therefore, we are sceptical to put the full fiscal easing into our baseline, even assuming that all the other hurdles were to be overcome.

New baseline is incorporating only part of the fiscal deal for now

Even a partial implementation of the maximum fiscal splurge would, however, present a major upside risk to our baseline growth forecast released last month. We already have been assuming for a while that some kind of fiscal reform would happen, and that the deficit wouldn't return to its former lows. Therefore, the proposed widening of the structural deficit to 0.7% is about in line with our previous 0.6% long-term assumption. But the defence and infrastructure splurge remain a big upside. However, we had already decided to incorporate large defence budgets in our March forecast update that will be released next week. We now assume EU and German spending will go to 3% of GDP. So the infrastructure fund is the main upside looking ahead but it is also the area, where we are most sceptical of a quick deployment. So we will refrain from incorporating it into our baseline before we have more clarity on implementation.

Nonetheless, our new baseline forecast will likely see a significant upward revision to the economic outlook as we roughly double the projected fiscal deficit from on average 0.6% of GDP to 1.4% over the next four years. We think that GDP growth will be 0.1ppts to 0.2ppts higher in that time averaging 1.2% and leaving the level of GDP 0.6% above our previous baseline in 2029.

This is a rather modest lift to activity given the scale of the funds. One reason is that we think that the fiscal multiplier of defence spending, i.e. the bang for the buck for one additional euro spent, is below one. Moreover, we think that it will be effectively even lower at least initially as we think that Germany and Europe more widely will splurge on US-made military goods to accelerate the increase in troop readiness and to placate US president Trump. We also think the European defence sector will struggle to scope with the broad-based splurge governments may now suddenly contemplate. In addition, we have incorporated further US tariffs in Mexico and Canada with some impact on German export demand. Lastly, we think the CDU may look for some fiscal offsets in other spending areas. One of the big election promises was to cut social expenditure on the unemployed. That's an uphill battle with the SPD but feasible given they pushed through their infrastructure fund.

The gradual and partial nature of the deployment of the funds we assume also means that inflation will only rise modestly relative to our baseline and a modestly higher policy rate will dampen it. Therefore, there will only be a moderate rise in government bond yields with the 10Y Bund up maybe some 20bps versus our old baseline of 2.45%. Incidentally, this is about in line with the market's initial response this morning.

Given last night's announcements, risks to the outlook are now skewed to the upside even after revising up our GDP growth forecast. In a scenario, where we add the planned infrastructure fund, make the spending of all funds more front-loaded and assume a higher fiscal multiplier implicit in our Global Economic Model, the economy would obviously bounce much more quickly as the deficit averages around 4% of GDP.

Growth would average 1.4% over the coming four years, 0.2ppts above our new baseline as the deficit averages 4%. A more inflationary response would be highly likely with inflation peaking at 2.6% in late-2027. That is despite ECB policy tightening with the deposit rate rising to 2.3% at peak compared to our new baseline of 2%. Arguably, the inflationary response could be even larger as the model interprets all of the increased government investment as strengthening the capital stock and productivity, which may be not fully true for defence spending. Lastly, this scenario sees public debt surge to above 75% of GDP by 2035 compared to just below 60% in our new baseline. Overall, we think this is a relatively extreme case and a plausible upside scenario is closer to our upcoming new baseline, but we will follow the political discussion and update if need be.

Either way, we think the likely new government's willingness to overcome Germany's long-standing fiscal restraint will be a good thing for the economy lifting growth prospects. This could also rekindle corporate animal spirits jump starting a recovery in business investment and raise the outlook for productivity. However, we think that the future coalition needs to accompany its fiscal plans with significant structural reforms to limit the inflationary effects. Cutting more red tape and raising labour supply are among the key issues and agreement between the partners is likely to be harder to get on this.